

carbon emissions by 50 per cent by 2025—notably more than 40 out of these are based in India,” says Venkat Garimella, Vice President for Corporate Strategy, Sustainability and CSR at Schneider Electric India, adding that 70 per cent of these suppliers are beginners in decarbonisation, and Schneider supports their journey through capacity and community building, and through its own solutions.

In India, natural resources conglomerate Vedanta, which is into extracting minerals, oil and gas, among others, has started reporting Scope 3 emissions two years in advance of its set target. “We have started engagement with our key suppliers to start discussing supply chain sustainability issues and have sustainability criteria defined in our procurement framework [such as] safety performance, child labour, energy efficiency etc., and these will be strengthened to accommodate emissions-related work,” says a company spokesperson.

Under the popular voluntary reporting framework CDP (a not-for-profit global disclosure system for investors, companies, cities, states and regions to manage their environmental impacts), responding companies reported total carbon equivalent emissions of about 1.2 billion tonnes in 2021, an increase of 39 per cent compared to 2020. This was primarily due to an increase in the number of CDP responding companies in 2021 (up from 67 in 2020 to 85 in 2021). As a result, the Scope 1 carbon emissions increased by 1 per cent to 686 million MtCO₂e (metric tonnes of carbon dioxide equivalent) in 2021 while Scope 2 rose by 34 per cent to 30 million MtCO₂e. Scope 3, on the other hand, increased by a whopping 249 per cent to 440 MtCO₂e. Scope 1 constituted 59 per cent of the total overall emissions in 2021

in comparison with 82 per cent in 2020, as several companies have shifted this to their supply chains by adopting more outsourcing as a policy. This also resulted in the rise of Scope 3 emissions’ share from 15 per cent in 2020 to 38 per cent in 2021. The share of Scope 2 emissions remained flat at 3 per cent.

And within this reported data by the 85 Indian companies in 2021, the hard-to-abate sectors dominate Scope 3 emissions. The largest contribution was from oil and gas, which stood at a significant 64 per cent, followed by transportation equipment at 20 per cent, metal smelting, refining and forming at 7 per cent, and cement and concrete at 4 per cent.

WHAT ARE SCOPE EMISSIONS?



SCOPE 1
Direct emissions of an organisation



SCOPE 2
Emissions from direct purchases of energy



SCOPE 3
Indirect emissions from value chain, which occur in activities outside the boundary of an organisation

CATEGORISING SCOPE 3 EMISSIONS

Numerous activities contribute to Scope 3 emissions depending upon the nature of an organisation, but the top ones reported in 2021 included business travel, employee commute, upstream transportation and distribution, purchased goods and services, fuel- and energy-related activities, and waste generated in operations, among others, which companies are actively working towards.

Commencing its net zero journey long ago and achieving carbon neutrality in 2020, IT major Infosys’s Scope 3 emissions mainly include emissions related to business travel and employee commute, apart from capital goods and T&D losses. The company’s strategy for reducing Scope 3 emissions includes a hybrid working model and optimising business travel through enabling seamless digital collaboration. “Apart from this, our strategy also includes promoting carpooling, use of public transport, promoting electric vehicles (EVs) among employees, and transition to EVs for our owned vehicles and